

# Crowbar Evaltree Insights

## Startup Valuation — 2026 Edition

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## **Executive Summary**

Startup valuation in 2025 refers to the process by which investors and founders assign monetary value to early-stage companies with limited financial history and uncertain future outcomes. Valuation determines ownership allocation during fundraising and establishes benchmarks for subsequent financing rounds.

The valuation logic used in 2025 differs from prior cycles due to shifts in capital availability, interest rate environments, and exit market conditions. The period from 2020 to 2021 saw inflated valuations driven by low interest rates and abundant venture capital. The correction that began in 2022 continued through 2024, establishing new expectations around revenue multiples, growth rates, and profitability timelines.

Key valuation frameworks currently in use include revenue multiples benchmarked to comparable public companies, stage-specific heuristics based on traction and market position, and discounted cash flow models applied selectively to later-stage companies with predictable unit economics. Investors in 2025 emphasize capital efficiency, path to profitability, and risk-adjusted returns in a higher interest rate environment.

This brief documents the dominant valuation practices observed in 2025, the assumptions embedded in those practices, and the market conditions that shape current investor expectations. It takes no position on whether these frameworks produce accurate valuations.

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## **What Startup Valuation Is (Plain English)**

Startup valuation is the estimated monetary worth of a company at a specific point in time, typically determined during a fundraising event. The valuation establishes how much equity founders must exchange for investor capital.

### **What valuation represents**

Valuation is a negotiated outcome reflecting investor expectations of future returns, perceived risk, competitive dynamics among investors, and founder leverage. It is not an objective measure of intrinsic worth. Two investors may assign different valuations to the same company based on different return requirements, risk tolerances, or strategic interests.

Pre-money valuation refers to the company's value before new capital is invested. Post-money valuation includes the new capital. If a company raises \$10 million at a \$40 million pre-money valuation, the post-money valuation is \$50 million, and the investor owns 20 percent.

### **What valuation does not represent**

Valuation is not the price at which the company could be sold immediately. Most startup valuations exceed what acquirers would pay at the time of investment. Valuation does not guarantee future outcomes. Companies valued at \$100 million may fail or achieve billion-dollar exits.

Valuation is not static. Subsequent rounds may occur at higher valuations (up rounds), the same valuation (flat rounds), or lower valuations (down rounds). Down rounds reset ownership structures and can dilute earlier investors and founders.

## **Common misunderstandings**

Many founders conflate high valuations with success. A high valuation that requires excessive dilution or unsustainable growth expectations may harm long-term outcomes. Valuation must be considered alongside other deal terms, including liquidation preferences, board composition, and investor rights.

Valuation is often misunderstood as a precise calculation. In reality, it is a forward-looking estimate based on assumptions that may not materialize. Early-stage valuations rely heavily on qualitative judgments about market opportunity, team quality, and competitive positioning.

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## **Dominant Valuation Frameworks in 2025**

Investors in 2025 use multiple frameworks depending on company stage, sector, and available financial data. The following methods are most commonly referenced in public investor commentary and market data.

### **Revenue-Based Approaches**

Revenue multiples are the most widely used valuation method for startups with established revenue streams. The valuation is calculated by multiplying annual recurring revenue or forward revenue by a sector-specific multiple.

PitchBook reported that median revenue multiples for late-stage venture deals in the United States declined from approximately 20x in 2021 to approximately 8x by mid-2024 (PitchBook Q2 2024 US Venture Valuations Report, <https://pitchbook.com/news/reports/q2-2024-us-venture-valuations-report>). Public market multiples for software companies, often used as reference points, compressed significantly during the same period.

Revenue multiples vary by growth rate, margin profile, market size, and competitive intensity. Software-as-a-service companies with annual recurring revenue growth above 100 percent and gross margins above 70 percent command higher multiples than companies with slower growth or lower margins. Bessemer Venture Partners' State of the Cloud report, published annually, provides benchmark multiples for public SaaS companies (Bessemer Venture Partners, "State of the Cloud 2024", <https://www.bvp.com/atlas/state-of-the-cloud-2024>).

Revenue multiples are less applicable to pre-revenue companies or businesses with one-time transaction revenue rather than recurring revenue.

### **Market Multiple References**

Investors frequently reference comparable company valuations to justify or challenge proposed valuations. Comparables may include public companies, recently funded private companies, or acquisition transactions.